The Sound of the Forest

Back in the third century A.D., the King Ts'ao sent his son, Prince T'ai, to the temple to study under the great master Pan Ku. Because Prince T' ai was to succeed his father as king, Pan Ku was to teach the boy the basics of being a good ruler. When the prince arrived at the temple, the master sent him alone to the Ming-Li Forest. After one year, the prince was to return to the temple to describe the sound of the forest.

When Prince T' ai returned, Pan Ku asked the boy to describe all that he could hear. "Master," replied the prince, "I could hear the cuckoos sing, the leaves rustle, the hummingbirds hum, the crickets chirp, the grass blow, the bees buzz, and the wind whisper and holler." When the prince had finished, the master told him to go back to the forest to listen to what more he could hear. The prince was puzzled by the master's request. Had he not discerned every sound already?

For days and nights on end, the young prince sat alone in the forest listening. But he heard no sounds other than those he had already heard. Then one morning, as the prince sat silently beneath the trees, he started to discern faint sounds unlike those he had ever heard before. The more acutely he listened, the clearer the sounds became. The feeling of enlightenment enveloped the boy. "These must be the sounds the master wished me to discern," he reflected.

When Prince T' ai returned to the temple, the master asked him what more he had heard. "Master," responded the prince reverently, "when I listened most closely, I could hear the unheard- the sound of flowers opening, the sound of the sun warming the earth, and the sound of the grass drinking the morning dew." The master nodded approvingly. "To hear the unheard," remarked Pan Ku, "is a necessary discipline to be a good ruler. For only when a ruler has learned to listen closely to the people's hearts, hearing their feelings uncommunicated, pains unexpressed, and complaints not spoken of, can he hope to inspire confidence in his people, understand when something is wrong, and meet the true needs of his citizens. The demise of states comes when leaders listen only to superficial words and do not penetrate deeply into the souls of the people to hear their true opinions, feelings, and desires."

Kim, W. and R. Mauborgne, "Parables of Leadership," Harvard Business Review, July-August 1992

Sign In…

EAS5450
Engineering Entrepreneurship I

Class #2: 1/21/2025

Penn Engineering

Creative Destruction

"The entrepreneurial/leadership function is creative – not 'equilibrating.' Entrepreneurship is a process of creative destruction; one that incessantly revolutionizes the economic system from within, incessantly destroying the old one, incessantly creating a new one. This process of Creative Destruction is the essential fact about capitalism."

- Joseph Schumpeter, 1934

Creative Destruction

I remember when …

- What can you already tell someone who's 10 years younger than you today?
- What do you think you'll tell your grandkids when you're 80?

The Sound of the Forest

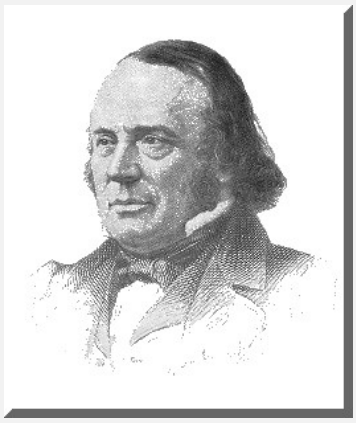
Back in the third century A.D., the King Ts'ao sent his son, Prince T'ai, to the temple to study under the great master Pan Ku. Because Prince T' ai was to succeed his father as king, Pan Ku was to teach the boy the basics of being a good ruler. When the prince arrived at the temple, the master sent him alone to the Ming-Li Forest. After one year, the prince was to return to the temple to describe the sound of the forest.

When Prince T' ai returned, Pan Ku asked the boy to describe all that he could hear. "Master," replied the prince, "I could hear the cuckoos sing, the leaves rustle, the hummingbirds hum, the crickets chirp, the grass blow, the bees buzz, and the wind whisper and holler." When the prince had finished, the master told him to go back to the forest to listen to what more he could hear. The prince was puzzled by the master's request. Had he not discerned every sound already?

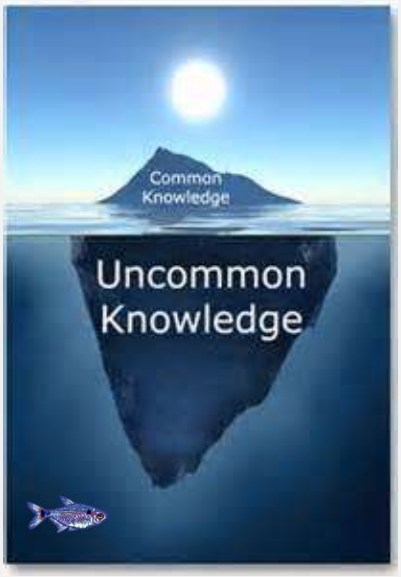
For days and nights on end, the young prince sat alone in the forest listening. But he heard no sounds other than those he had already heard. Then one morning, as the prince sat silently beneath the trees, he started to discern faint sounds unlike those he had ever heard before. The more acutely he listened, the clearer the sounds became. The feeling of enlightenment enveloped the boy. "These must be the sounds the master wished me to discern," he reflected.

When Prince T' ai returned to the temple, the master asked him what more he had heard. "Master," responded the prince reverently, "when I listened most closely, I could hear the unheard- the sound of flowers opening, the sound of the sun warming the earth, and the sound of the grass drinking the morning dew." The master nodded approvingly. "To hear the unheard," remarked Pan Ku, "is a necessary discipline to be a good ruler. For only when a ruler has learned to listen closely to the people's hearts, hearing their feelings uncommunicated, pains unexpressed, and complaints not spoken of, can he hope to inspire confidence in his people, understand when something is wrong, and meet the true needs of his citizens. The demise of states comes when leaders listen only to superficial words and do not penetrate deeply into the souls of the people to hear their true opinions, feelings, and desires."

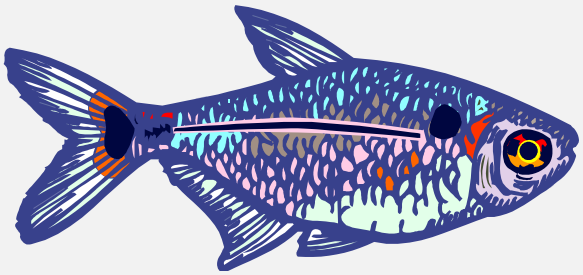
Kim, W. and R. Mauborgne, "Parables of Leadership," Harvard Business Review, July-August 1992



Louis Agassiz (1807-1873)



Look at the Fish !

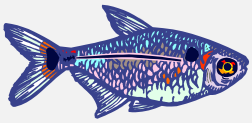


The Innovator's DNA

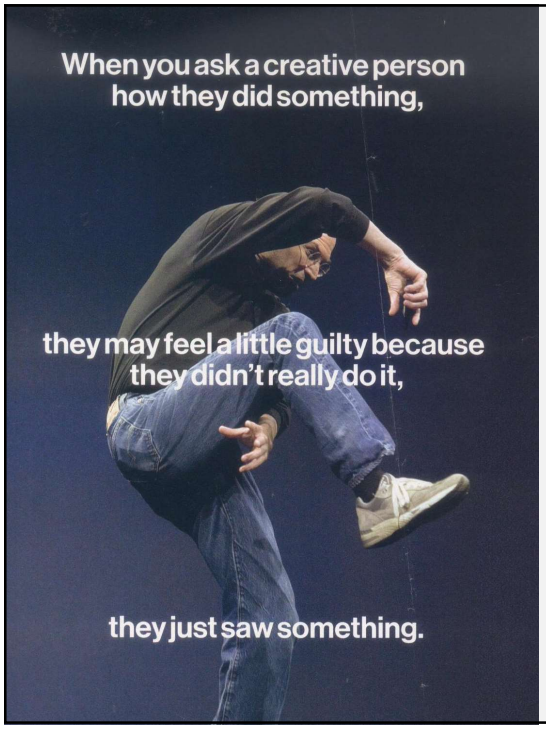
Underpinnings of Creative Intelligence

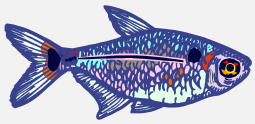
- Questioning
- Observing
- Experimenting
- Networking

} • Associating



Harvard Business Review, Dec 2009





Final Exam

Sec 401: Time & Date To Be Announced

Take notes of important take-aways throughout the course. 4 pages of personal notes allowed in the exam (two 2-sided sheets of 8½ x 11 paper).

Peter Drucker (1909-2005)

"… the world's greatest management thinker."

The Economist, Nov 19th 2009

Expect the Unexpected

IDEA FACTOR	SUCCESS RATE
Taking advantage of random events	13X more successes than failures
Solution spotting (new use of existing technology)	7X more successes than failures
Market research	4X more successes than failures
Need spotting (solving a known problem)	2X more successes than failures
Mental inventions	3X more failures than successes
Trend following	3X more failures than successes

The Economist, Sept 6, 2003

Peter Drucker (1909-2005)

"… the world's greatest management thinker."

The Economist, Nov 19th 2009

The HP Way
- Then and Now

- **David Packard**
- **Bill Hewlett**
- **Fred Terman, Mentor**

The HP Way — CEOs

Then

- Bill Hewlett, David Packard
- John Young (1978-1992)
  - Joined HP in 1958
  - BS EE (Oregon State)
  - MBA (Stanford)
- Lew Platt (1992-1999)
  - Joined HP in 1966
  - BS ME (Cornell)
  - MBA (Wharton)

Recent

- Carly Fiorina (2000-2005)
  - Lucent, AT&T
  - BA in Medieval History (Stanford), MBA (Univ of MD), MS (Sloan/MIT)
- Mark Hurd (2005-2010)
  - NCR
  - BA in Bus Admin (Baylor)
- Leo Apotheker (2010-2011)
  - SAP
  - BA Economics (Hebrew Univ)
- Meg Whitman (2011-2017 HPE)
  - Ebay, Inc.
  - BA (Princeton), MBA (Harvard)

1999: HP Split into Hewlett-Packard Company (NYSE: HPQ) and Agilent (NYSE: A)

Agilent Technologies

Agilent's pioneering spirit was kindled more than 60 years ago, when two engineers - Bill Hewlett and Dave Packard - invented the future in their garage. In 1999, Agilent was spun off from Hewlett-Packard Company.

While, physically, we have outgrown HP's garage, we continue to live the values handed down from Bill and Dave: uncompromising integrity; trust, respect and teamwork; and innovation that makes a difference.

abcNEWS

Sept 12, 2006

"The HP name remains, but the HP culture we all knew and respected is long gone."

"H-P Chief Quits in Scandal"

WSJ – Aug 7, 2010

- HP under Mark Hurd…
  - 31% increase in revenue ($80–115B)
  - 3% to 7% increase in net profit margin
    … in an industry of falling margins
  - R&D budget slashed from 9% to 2% of revenue

"It's Official At HP: Apotheker Is Out, Meg Whitman Named President & CEO"

Leo Apotheker was made the president and CEO of Hewlett-Packard on September 30, 2010. Today, just shy of a year later, HP's board of directors appointed Meg Whitman as his replacement.

Under the leadership of Apotheker, HP's stock lost nearly half of its value, basically squandered Mark Hurds' $1.2 billion investment in Palm and announced that the company was considering cancelling or spinning off its consumer PC business. <u>In short, HP lost its way within the last 357 days.</u>

http://techcrunch.com Sept 22, 2011

HP Today

- 1999: split into Hewlett-Packard Company (NYSE: HPQ) and Agilent (NYSE: A): $42.1B Market Cap
- 2002: HP acquires Compaq for $19B
- 2010: HP acquires Palm for $1.2B
- 2011: HP exits smartphone & tablet markets
- 2011: HP acquires Autonomy for $12B
- 2012: HP writes down $8.8B Autonomy value
- 2014: Agilent spins off Keysight Technologies (NYSE: KEYS): $28.7B Market Cap
- 2015: HP splits into 2 companies:
  - HP Enterprise Co. (HPE): $30.4B Market Cap
  - HP Inc. (HPQ): $30.5B Market Cap

The HP Way — CEOs

Today

- Enrique Lores – HPQ (2019 - present)
  - Joined HP in 1989
  - BS EE (Valencia)
  - MBA (ESADE Barcelona)

- Antonio Neri – HPE (2018 - present)
  - Joined HP in 1995
  - Computer Science (NTU, Argentina)

THE WALL STREET JOURNAL.
WSJ.com

MANAGEMENT | May 29, 2012, 8:55 p.m. ET

Chief Executives Hired Internally Outlast, Outperform Their Rivals

By LESLIE KWOH

As companies renew their focus on internal candidates for rank-and-file positions, boards of directors also may want to look within when hiring a new chief executive.

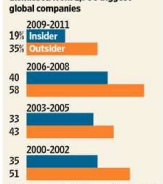
Chief executives hired from outside a company are twice as likely to be forced out as those promoted from within.

CEOs during that same period, according to consultants Booz & Co.'s 12th annual CEO Succession Study, released on Thursday.

In Vs. Out

CEOs hired from outside a company are nearly twice as likely to be forced out as those promoted from within.

Average percentage of CEOs dismissed from 2,500 biggest global companies



Source: Booz & Co. CEO Succession Study '11
The Wall Street Journal

The study analyzed the 2,500 largest publicly traded companies around the world.

Though average tenures for both categories have been declining, insider CEOs tend to hold on to their jobs for five years before they're booted, nearly a year longer than outsider CEOs.

Experts say outsiders are probably more likely to be ousted because they're less familiar with a company's inner workings. That could also explain why companies generally prefer appointing insiders to the corner office in the first place: Four of five new CEOs are hired from inside, the study found.

"It takes a long time to really get to understand how a company works," says Per-Ola Karlsson, Booz's managing director of Europe. "Insiders have a better ability to understand how to affect change within an organization than outsiders typically do."

Another benefit of tapping insiders: They typically deliver better returns for shareholders. The study analyzed the market performance of companies with a chief executive departure between 2009 and 2011 and calculated the company's returns during that CEO's tenure.

Companies with an insider boss outperformed the rest of their respective stock market index by 4.4%, while those with an outsider outperformed their index by just 0.5%.

HP vs Dow to 11/1/15

Yahoo Finance

Splits: Mar 20, 1970 [2:1], Jul 31, 1979 [2:1], Jul 20, 1981 [2:1], Aug 26, 1983 [2:1], Apr 17, 1995 [2:1], Jul 16, 1996 [2:1], Oct 30, 2000 [2:1]

THE WALL STREET JOURNAL.

TECHNOLOGY

Hewlett-Packard Set to Break Up 75-Year-Old Company

H-P Would Separate PC, Printer Business from Corporate Hardware, Services; Sees More Layoffs

By SHIRA OVIDE, JOANN S. LUBLIN and DANA MATTIOLI

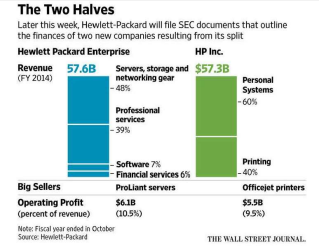
Updated Oct. 6, 2014 10:33 a.m. ET

Tech company Hewlett-Packard has announced that it will separate its personal-computer and printer businesses from its corporate hardware and services operations.

Hewlett-Packard Co. confirmed Monday that it planned to split the company into two parts, a move executives said was driven by the need to stay nimble to keep up with rapidly changing technology.

H-P, which Bill Hewlett and Dave Packard famously started in their Palo Alto, Calif., garage in 1939, now will be carved up: One part, HP Inc., will consist of the company's personal-computer and printer businesses. The other, Hewlett-Packard Enterprise, will sell computer servers, data-storage gear, software, consulting operations and other services for corporate-technology departments.

Each of the companies will be about the same size, with more than $50 billion in annual revenue.

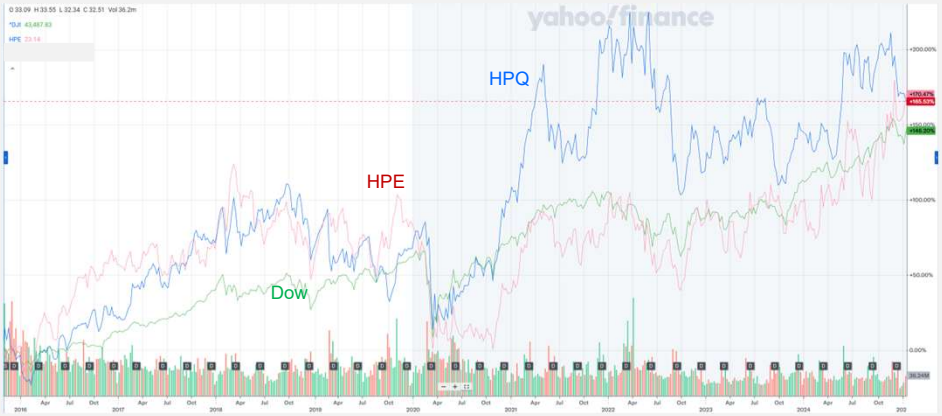


Wall Street Journal, July 1, 2015

HP Inc. (HPQ) & HP Enterprise (HPE)

vs. Dow Jones Industrials

Since Nov 1, 2015



Yahoo Finance: 1/20/2025